

		The motion filed by attorney David M. Frieman from Wilshire Law Firm to be relieved as counsel of record for plaintiff Trish Le is CONTINUED to _____. The Proof of Service filed by moving attorney shows Plaintiff was served with the moving papers via personal service but fails to show the moving papers were served on the other parties who have appeared in the case. (Cal. Rules of Ct., Rule 3.1362(d) [“The notice of motion and motion, the declaration, and the proposed order must be served on the client and on all other parties who have appeared in the case.”]) Based on the foregoing, the hearing on the Motion is CONTINUED to _____. Moving attorney is to give notice and to serve the Notice of Motion, Declaration and a Proposed Order with the new hearing date on the client and all other parties who have appeared in the case. Moving attorney is to file a proof of service no later than 5 court days prior to the CONTINUED hearing. Moving attorney to give notice.
11	22-01297276 <i>Miller vs. Agriforce Growing Systems, LTD</i>	Motion to Compel Production MOTION WITHDRAWN
12	23-01302857 <i>Providence Capital Funding, Inc. vs. Team MMJ Trucking LLC</i>	1) Demurrer to Amended Complaint 2) Motion to Strike Portions Of Complaint <u>Demurrer to Second Amended Cross-Complaint</u> The demurrer filed by Plaintiff/Cross-Defendant Providence Capital Funding, Inc., and Cross-Defendants Aaron Kubasek and Max Sarango (collectively, “Cross-Defendants”) is SUSTAINED with 20 days leave to amend. Cross-Defendants’ motion to strike is therefore MOOT. The court finds Cross-Defendants meet and conferred as required pursuant to Code of Civil Procedure sections 430.41 (demurrer) and 435.5 (strike) prior to filing this motions. Cross-Defendants seek an order sustaining their demurrer to each cause of action of the SAXC on the grounds that they each fail to state facts sufficient to constitute a cause of action and are uncertain, pursuant to Code of Civil Procedure § 430.10(e)-(f). The operative second amended cross-complaint (“SAXC”), filed on 11/26/24, by Defendants/Cross-Complainants Team MMJ Trucking LLC (“MMJ”), Mike and Tonya Springer (the “Springers”), (collectively, “Cross-Complainants”), alleges the following causes of action against Plaintiff/Cross-Defendant Providence Capital Funding, Inc. (“Providence”), and Cross-Defendants: (1) breach of contract, (2) interference with contractual relations, (3) intentional interference with prospective economic relations, (4) negligent interference with prospective economic relations, (5) fraud, (6) negligent misrepresentation, (7) false promise, (8) conversion, (9) intentional

infliction of emotional distress, (10) violation of Business & Professions Code §§ 17200 et seq., (11) open book account, and (12) money had and received. The 1st, 7th, and 10th – 12th causes of action are alleged against Providence only. The remaining causes of action are alleged against all Cross-Defendants. 2nd – 6th, 8th and 9th

In the SAXC, Cross-Complainants allege MMJ entered into a lease (“Lease”) with Providence on 8/7/20, under which Providence was to acquire a 2013 Freightliner Cascadia, Serial No. 1FUJGLDR2DSBR1477 (“Freightliner”) and lease it to MMJ for 24 months. (SAXC, ¶ 10, Ex. A.) The Springers were guarantors of the Lease. (Id., ¶ 11.) Under the Lease, Providence represented that it was the owner of the Freightliner. (Id., ¶ 12.) However, Providence was not, and did not become, the owner of the Freightliner at any time thereby making it impossible to register title to the Freightliner with the Georgia Department of Motor Vehicles (“Georgia DMV”). (Id., ¶¶ 13-14.) The failure of Providence to provide a title to the Freightliner made it unlawful for MMJ to operate the Freightliner on public motorways. (Id., ¶ 15.)

The rightful title holder and owner of the Freightliner was Financial Pacific Leasing (“Financial Pacific”). (Id., ¶ 18.) MMJ entered into an equipment lease with Financial Pacific to the Freightliner. (Id., ¶ 19.) Cross-Defendants knew of the lease between MMJ and Financial Pacific. (Id., ¶ 20.) Cross-Defendants intended to cause Financial Pacific to breach the lease by preventing the registration of the Freightliner with the Georgia DMV and by having Financial Pacific refusing to deliver title to MMJ. (Id., ¶ 21.)

Providence falsely promised that it would purchase the Freightliner and lease it to MMJ. (Id., ¶ 64.) MMJ timely paid each of the payments under the Lease. At the end of the Lease, MMJ paid the purchase price and purchased the Freightliner from Financial Pacific. (Id., ¶ 73.)

1. Legal Standard

“A demurrer tests the pleading alone, and not the evidence or the facts alleged. . . . To the extent there are factual issues in dispute, however, this court must assume the truth not only of all facts properly pled, but also of those facts that may be implied or inferred from those expressly alleged in the complaint.” (City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc. (1998) 68 Cal.App.4th 445, 459.) Under the rule of liberal construction, all inferences are to be drawn in favor of the plaintiff. (Perez v. Golden Empire Transportation Transit District (2012) 209 Cal.App.4th 1228, 1238; Code Civ. Proc. § 452.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School District (2012) 53 Cal.4th 861, 872.)

2. Uncertainty

Cross-Defendants argue the SAXC is uncertain because it lumps all or several defendants together and the conclusory allegations that Providence, Kubasek, and Sarango collectively “did not become, the

	owner of the [Vehicle]” is insufficient to demonstrate any liability on the part of Providence, Kubasek, or Sarango. (SAXC, ¶¶ 13-14.) Cross-Complainants’ opposition is silent on this issue. “Demurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond. A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures. Under our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695 [cleaned up]; but see Hawley Bros. Hardware Co. v. Brownstone (1899) 123 Cal. 643, 646-47 [holding a complaint is subject to a demurrer for ambiguity in an action upon notes executed in a firm name, where the members of the firm are described as defendants in the caption of the complaint, but the body of the complaint throughout uses the term “defendant” in the singular number, and alleges that the “defendant” has not paid the notes].) Here, the labels for the 2nd – 6th, 8th and 9th state that they are alleged against Providence, Kubasek, and Sarango. Each of these causes of action contain substantive factual allegations committed by “Cross-defendants” sufficiently to apprise them of the issues they are being asked to meet. For example, the 3rd and 4th causes of action allege “Cross-defendants, and each of them, conspired with each other, to prevent Team MMJ and Financial Pacific to be able to register the title to the Freightliner with the Georgia DMV and having Financial Pacific refusing to deliver title to Team MMJ.” (SAXC, ¶¶ 30, 40.) Therefore, the demurrer for uncertainty is OVERRULED. 3. Standing Cross-Defendants argue the Springers do not have standing to bring these claims, which are based on an alleged breach of the Lease, and are not the real parties in interest. Cross-Defendants are correct. The SAXC fails to allege facts showing the Springers have standing to bring a breach of contract claim against Providence. The only parties to the Lease were MMJ and Providence. The Springers were only guarantors. (SAXC ¶ 11, Ex. A.) Cross-Complainants do not address this point in their opposition. By failing to address the issue in their opposition, Cross-Complainants concede the argument is meritorious. (See Rules of Court, Rule 3.1342(b) [“The failure to serve and file a written opposition may be construed by the court as an admission that the motion is meritorious, and the court may grant the motion without a hearing on the merits.”]; see also DuPont Merck Pharmaceutical Co. v. Sup. Ct. (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, plaintiffs concede this issue”].)
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Thus, Cross-Defendants’ demurrer to the 1st – 12th causes of action brought by the Springers are SUSTAINED with leave to amend.

4. Economic Loss Rule

Cross-Defendants argue the 2nd through 9th causes of action are barred by the economic loss rule (“ELR”) because they each seek tort damages for Providence’s alleged breach of the Lease. Cross-Complainants argue the ELR does not apply to intentional torts.

In general, the economic loss rules bars tort recovery “for negligently inflicted ‘purely economic losses,’ in the absence of personal injury or physical damage to other property.” (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.) “Not all tort claims for monetary losses between contractual parties are barred by the economic loss rule . . . [S]uch claims are barred when they arise from—or are not independent of— the parties’ underlying contracts.” (Id. at 923-924, citing Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal. 4th 979, 991; Erlich v. Menezes (1999) 21 Cal. 4th 543, 551.) The California Supreme Court recently reaffirmed that the economic loss rule “does not apply if defendant’s breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the contract, but from a separate, legally recognized tort obligation.” (Rattagan, supra, 17 Cal.5th at 44. In so ruling, the Supreme Court explained the economic loss rule does not apply to limit recovery for intentional tort claims like fraud. The doctrine only applies to bar tort recovery for negligently inflicted economic losses unaccompanied by physical or property damage under the limits recognized in Sheen.” (Id. at 38.)

Accordingly, since the ELR does not apply to intentional torts, Cross-Defendants demurrer to the 2nd, 3rd, 5th, 7th- 9th causes of action (all alleging intentional torts) on this ground are OVERRULED.

With respect to the 4th and 6th causes of action for negligent interference with prospective economic relations and negligent misrepresentation, Cross-Defendant’s motion is devoid of analysis regarding the ELR’s applicability to each of these causes of action. Instead, Cross-Defendants state the 2nd through 9th causes of action seek tort damages for Providence’s alleged breach of Lease, then cite legal authority for the ELR, and conclude the 2nd through 9th causes of action are barred by the ELR. The “court is not required to examine undeveloped claims, nor to make arguments for parties.”(Maral v. City of Live Oak (2013) 221 Cal.App.4th 975, 984; see also Mansell v. Board of Administration (1994) 30 Cal.App.4th 539, 546 [“court may treat [unsupported legal arguments] as waived, and pass it without consideration.”].)

Accordingly, Cross-Defendants have failed to establish the ELR applies to the 4th and 6th causes of action. Thus, the demurrer to the 4th and 6th causes of action on this ground are OVERRULED.

5. 1st Cause of Action: Breach of Contract

To state a breach of contract claim, the plaintiff must plead (1) a contract, (2) plaintiff’s performance or excuse for nonperformance; (3) defendant’s breach; and (4) resulting damages. (Otworth v. Southern

	Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 458.) The complaint must also plead whether the contract is written, oral, or implied by conduct. (Ibid.) The breach of contract claim alleges Providence and MMJ entered into the Lease for the Freightliner, under which Providence represented that it owned the Freightliner (SAXC, ¶¶ 10, 12); Providence breached the Lease by failing to have ownership of the Freightliner (SAXC, ¶ 13); as a result, it was impossible to register title to the Freightliner with the Georgia DMV and unlawful for MMJ to operate it on public mtotorways (SAXC ¶¶ 14-15); and the breach caused MMJ to suffer financial loss (SAXC, ¶ 16). Cross-Defendants argue the claim fails because the Lease does not contain any provision obligating Providence to provide license plates and, on the contrary, expressly states that MMJ is responsible for registering the vehicle, expressly disclaims any warranty of fitness for a particular purpose, and disclaims any claim for lost profit damages. (SAXC, Ex. A, §§ 4, 10.) Cross-Complainants argue they have alleged each element of the breach of contract claim including that Providence breached the Lease by not owning Freightliner. However, as Cross-Defendants point out in their reply, Cross-Complainants do not address Cross-Defendants’ argument that the Lease expressly disclaims any fitness for a particular purpose, which is the premise the breach of contract claim. Accordingly, Cross-Complainants concede the argument is meritorious. (See Rules of Court, Rule 3.1342(b); see also DuPont Merck Pharmaceutical Co., supra, 78 Cal.App.4th at 566.) Thus, the demurrer to the 1st cause of action is SUSTAINED with leave to amend. 6. 2nd Cause of Action: Intentional Interference with Contractual Relations Statute of Limitations Cross-Defendants argue this claim is barred by the two-year statue of limitations set forth in Code of Civil Procedure section 339(1) because the Lease was entered into on August 7, 2020. (SAXC, ¶ 10.) The initial cross-complaint was filed on April 3, 2023. The SAXC was filed on November 26, 2024. Cross-Complainants argue a four year statute of limitations applies to the interference with contract causes of action pursuant to sections 337 and 343. In response, Cross-Defendants argues sections 337 and 343 do not apply to this claim because they concern an action upon a contract in writing. They further argue the claims began to accrue when the Lease was entered into on August 7, 2020.
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“A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. In order for the bar... to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred.” (Committee for Green Foothills v. Santa Clara County Bd. of Supervisors (2010) 48 Cal.4th 32, 42 [cleaned up].) Code of Civil Procedure section 339(1) provides: “An action upon a contract, obligation or liability not founded upon an instrument of writing” must be brought “[w]ithin two years”. Section 339(1) has been held to cover tortious inference with contract, trade, or business. (Edwards v. Fresno Community Hosp. (1974) 38 Cal.App.3d 702, 706 [listing cases].)

While Cross-Defendants are correct that section 339(1) applies to this action, they do not site any legal authority regarding when a tortious interference claim begins to accrue. Accordingly, Cross-Defendants have only established the claim may be barred by the statute of limitation, not that the defense appears clearly on the face of the SAXC.

Failure to state a claim

To establish interference with contractual relations, Cross-Complainants must show that: (1) a valid contract exists between plaintiff and a third party; (2) defendant knew of the existence of this contract; (3) defendant took intentional steps to interrupt the contractual relation; (4) defendant’s actions breached the contractual relation; and (5) damages as a result of the breached contract. (Pacific Gas & Electric Co. v. BearStearns & Co. (1990) 50 Cal.3d 1118, 1126.) “[T]o state a claim for interference with an at-will contract by a third party, the plaintiff must allege that the defendant engaged in an independently wrongful act.” (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 9 Cal.5th 1130, 1148, internal citation omitted.)

Cross-Complainants have not alleged the first element. Cross-Complainants allege that because Financial Pacific allegedly owned the Vehicle, MMJ was actually in a lease agreement with Financial Pacific and that Providence caused Financial Pacific to breach the Lease by “preventing the registration of the [Vehicle] with the Georgia DMV.” (SAXC, ¶ 21.) However, the Lease attached to the SAXC is expressly between Providence and MMJ. Cross-Complainants make contradictory allegations, stating both that the Lease is between MMJ and Providence, but also that the Lease is between MMJ and Financial Pacific. (SAXC, ¶¶ 10, 19.) Further, the SAXC fails to allege an independently wrongful act.

Thus, the demurrer to the 2nd cause of action is SUSTAINED with leave to amend.

7. 3rd and 4th Causes of Action: Intentional and Negligent Interference with Prospective Economic Relations Statute of Limitations

Cross-Defendants argue these claims are also barred by the two-year statute of limitations pursuant to section 339(1). For the reasons

discussed above, Cross-Defendants have failed to establish these claims are time-barred.

Failure to state a claim

“The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant’s knowledge of this contract; (3) defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (Pacific Gas & Electric Co. v. Bear Stearns & Co. (1990) 50 Cal.3d 1118, 1126.) “The tort duty not to interfere with [a] contract falls only on strangers—interlopers who have no legitimate interest in the scope or course of the contract’s performance.” (Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal.4th 503, 514.)

“The elements of negligent interference with prospective economic advantage are(1) the existence of an economic relationship between the plaintiff and a third party containing the probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of the relationship; (3) the defendant’s knowledge(actual or construed) that the relationship would be disrupted if the defendant failed to act with reasonable care; (4) the defendant’s failure to act with reasonable care; (5) actual disruption of the relationship; (6) and economic harm proximately caused by the defendant’s negligence.” (Redfearn v. Trader Joe’s Co. (2018) 20 Cal.App.5th 989, 1005.) Furthermore, “ ‘[t]he tort of negligent interference with economic relationship arises only when the defendant owes the plaintiff a duty of care.’ ” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 348, original italics, internal citation omitted.)

“[A] plaintiff seeking to recover for an alleged interference with prospective contractual or economic relations must plead and prove as part of its case-in-chief that the defendant not only knowingly interfered with the plaintiff’s expectancy, but engaged in conduct that was wrongful by some legal measure other than the fact of interference itself.” (Della Penna v. Toyota MotorSales, U.S.A., Inc. (1995) 11 Cal.4th 376, 393.) “ ‘[A]n act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard.’ ‘[A]n act must be wrongful by some legal measure, rather than merely a product of an improper, but lawful, purpose or motive.’ ” (San Jose Construction, Inc. v. S.B.C.C., Inc. (2007) 155 Cal.App.4th 1528, 1544-1545.)

Here, Cross-Complainants fail to allege that the Lease is a relationship between MMJ and a third party, since Providence is a party to the Lease. While the SAXC alleges the existence of contract between Financial Pacific and MMJ (SAXC ¶¶ 28, 38), these allegations conflict with the prior allegations of the cross-complaint and amended complaint. Cross-Complainants cannot attempt to breathe life into the cross-complaint by omitting relevant facts from an amended complaint that made a Cross-

		Complainants previous complaint defective. If a party amends a pleading to omit or alter facts that rendered the pleading vulnerable to attack, the court may disregard the omission or alteration unless the plaintiff has a valid explanation for the change. (Hardy v. Admiral Oil Co. (1961) 56 Cal.2d 836.) Namely, in the SAXC, MMJ acknowledged that Providence is the owner of the Vehicle and could “sell; assign or transfer the Lease, or any part of it, and MMJ agreed that such an assignment would not relieve it of its obligations under the Lease.” (SAXC, ¶ 10, Ex. A §§ 7-8.) An attachment to the amended cross-complaint shows that it was clear that the Freightliner would be titled in Financial Pacific’s name. (Amended Cross-Complaint, pp. 40-41, Ex. 2g.) Cross-Complainants also attached to the amended cross-complaint what they alleged to be the contract with Financial Pacific. (Amended Complaint, pp.33-39, Ex. 2f.) However, on its face, the document is not a contract between Financial Pacific and MMJ but an invoice between the dealer of the Freightliner and Financial Pacific. (Id.) MMJ is not a party to the invoice, who is only listed as the ship to location, and there are no terms or obligations by and between MMJ and Financial Pacific. Providence cannot have interfered with a contractual duty that did not exist. Cross-Complainants do not explain their contradictory allegations. Lastly, the SAXC does not allege Providence engaged in an intentionally wrongful act. Thus, the demurrer to the 3rd and 4th causes of action is SUSTAINED with leave to amend. 8. 5th Cause of Action: Fraud Statute of Limitations Common law fraud causes of action must be asserted within three years. (Civ. Proc. Code, § 338(d); Sun’n Sand, Inc. v. United California Bank (1978) 21 Cal.3d 671, 701.) Cross-Defendants argue in conclusory fashion without providing any analysis that this claim is barred by the three-year statute of limitations. The “court is not required to examine undeveloped claims, nor to make arguments for parties.” (Maral v. City of Live Oak (2013) 221 Cal.App.4th 975, 984; see also Mansell v. Board of Administration (1994) 30 Cal.App.4th 539, 546 [“court may treat [unsupported legal arguments] as waived, and pass it without consideration.”].) Accordingly, Cross-Defendants have failed to establish this claim is time-barred. Failure to state a claim A claim for fraud must allege: (1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (or ‘scienter’); (3) intent to defraud, i.e., to induce reliance; (4) justifiable reliance; and (5) resulting damage. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974.) Further, “[i]n California, fraud must be pled specifically; general and conclusory
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allegations do not suffice.” (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) The pleading should be sufficient “ ‘to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud.’ ” (Committee on Children’s Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 216-217.) Facts must be pled which show how, when, where, to whom, and by what means the representations were made. (Lazar v. Superior Court, supra, 12 Cal.4th at p. 645.) When the defendant is a corporate defendant, the plaintiff must further allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what they said or and when it was said. (Ibid.)

Here, Cross-Complainants’ allegations fail to provide the specificity necessary to support this claim. Particularly as to Kubasek and Sarango, there are no allegations as to what representation either of them made or when, to support this individualized claim. Nor are there allegations regarding any misrepresentations made by Providence, the names of the persons who made the representations on Providence’s behalf, their authority to speak, to whom they spoke, what they said or and when it was said.

Thus, the demurrer to the 5th cause of action is SUSTAINED with leave to amend.

9. 6th Cause of Action: Negligent Misrepresentation

Statute of Limitations

Cross-Defendants argue in conclusory fashion without providing any analysis that this claim is barred by the two-year statute of limitations pursuant to Code of Civil Procedure section 339. The “court is not required to examine undeveloped claims, nor to make arguments for parties.” (Maral v. City of Live Oak (2013) 221 Cal.App.4th 975, 984; see also Mansell v. Board of Administration (1994) 30 Cal.App.4th 539, 546 [“court may treat [unsupported legal arguments] as waived, and pass it without consideration.”].) Accordingly, Cross-Defendants have failed to establish this claim is time-barred.

Failure to state a claim

“Negligent misrepresentation requires an assertion of fact, falsity of that assertion, ... lack of reasonable grounds for believing the assertion to be true ... intent to induce reliance, justifiable reliance by the person to whom the false assertion of fact was made, and damages [.]” (SI 59 LLC v. Variel Warner Ventures, LLC (2018) 29 Cal.App.5th 146, 154.) However, if the defendants’ beliefs are honest and reasonable, then the misrepresentation is innocent, and there is no tort liability. (Diediker v. Pelle Financial Corp. (1997) 60 Cal.App.4th 288, 297.)

Here, Cross-Complainants fail to allege that Cross-Defendants lacked reasonable grounds for believing its alleged representation to be true. Thus, the demurrer to the 6th cause of action is SUSTAINED with leave to amend.

10. 7th Cause of Action: False Promise

False promise is a subspecies of fraud. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 973-974.) To sufficiently allege a claim for false promise, Cross-Complainants “must allege (1) the defendant made a representation of intent to perform some future action, i.e., the defendant made a promise, and (2) the defendant did not really have that intent at the time that the promise was made, i.e., the promise was false.” (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1060.) “Each element must be alleged with particularity.” (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1059-1060.)

Cross-Defendants argue the SAXC fails to sufficiently allege Providence’s lack of intent to obtain the Freightliner. However, the SAXC alleges Providence falsely promised that it would purchase the Freightliner and lease it to MMJ, but Providence did not intend to perform this promise when made. (SAXC, ¶¶ 64-65.) Accordingly, the SAXC properly alleges intent.

Nevertheless, Cross-Defendants are correct that the SAXC fails to plead this claim with the specificity required of a fraud claim. Thus, the demurrer to the 7th cause of action is SUSTAINED with leave to amend.

11. 8th Cause of Action: Conversion

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.) “In order to establish a conversion, the plaintiff ‘must show an intention or purpose to convert the goods and to exercise ownership over them, or to prevent the owner from taking possession of his property.’” (Collin v. American Empire Insurance Co. (1994) 21 Cal.App.4th 787, 812, internal citations omitted.)

This claim is contradictory. Cross-Complainants allege MMJ purchased the Freightliner from Financial Pacific. Cross-Complainants do not explain how Providence interfered with MMJ’s title of the Freightliner when they also claim that Providence does not have title and is not the owner of the Freightliner. In other words, the claim does not Cross-Defendant’s conversion by a wrongful act. Thus, Plaintiff’s cause of action for conversion is insufficiently pled.

Thus, the demurrer to the 8th cause of action is SUSTAINED with leave to amend.

12. 9th Cause of Action: Intentional Infliction of Emotional Distress Statute of Limitations

Cross-Defendants argue in conclusory fashion without providing any analysis that this claim is barred by the two-year statute of limitations pursuant to Code of Civil Procedure section 335.1. The “court is not required to examine undeveloped claims, nor to make arguments for parties.” (Maral v. City of Live Oak (2013) 221 Cal.App.4th 975, 984; see also Mansell v. Board of Administration (1994) 30 Cal.App.4th 539,

ss it without consideration.”].) Accordingly, Cross-Defendants have failed to establish this claim is time-barred.

Failure to state a claim

“A cause of action for intentional infliction of emotional distress exists when there is ‘(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress;(2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct.’ A defendant’s conduct is ‘outrageous’ when it is so ‘extreme as to exceed all bounds of that usually tolerated in a civilized community.’ And the defendant’s conduct must be ‘intended to inflict injury or engaged in with the realization that injury will result.’ ” (Hughes v. Pair (2009) 46 Cal.4th 1035, 1050-1051.) “Severe emotional distress [is] emotional distress of such substantial quantity or enduring quality that no reasonable man in a civilized society should be expected to endure it.” (Fletcher v. Western Life Insurance Co. (1970) 10 Cal.App.3d 376, 397.)

As an initial matter, a business entity like MMJ lacks standing to pursue a claim for intentional infliction of emotional distress. (Huntington Life Sciences v. Stop Huntington Animal Cruelty, USA (2005) 129 Cal.App.4th 1228, 1260.)

In addition, the conduct alleged, does not rises to the level of conduct which a civilized society cannot endure. Further, assuming that the false representation alleged is that Providence did not actually own the Freightliner (this claim fails to actually state the false representation (see SAXC, ¶ 82), this allegation does not rise to the level of distress and intentional wrongdoing necessary to satisfy an IIED claim. Specifically, terms of the Lease clearly states that MMJ was responsible for the registration of the Vehicles. (SAXC, Ex. A, § 10.) MMJ also expressly disclaimed warranties for fitness of the Vehicle for use for a particular purpose. (SAXC, Ex. A, § 4.)

Thus, the demurrer to the 9th cause of action is SUSTAINED with leave to amend.

13. 10th Cause of Action: Violation of Business and Professions Code § 17200 (“UCL”)

Unfair business practices, “shall mean and include any unlawful, unfair, or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” (Bus. & Prof. Code, § 17200.) Courts have made it clear that the UCL cannot be used as an end-run around the requirements of other statutes. (See Glenn K. Jackson Inc. v. Roe (9th Cir. 2001) 273 F.3d 1192, 1203; see also Krantz v. BT Visual Images, L.L.C. (2001) 89 Cal.App.4th 164, 178 [the viability of a UCL claim stands or falls with the antecedent substantive causes of action].) “A court may not allow plaintiff to plead around an absolute bar to relief simply by recasting the cause of action as one for unfair competition.”

		(Chamber v. United of Omaha Life Ins. Co. (9th Cir. 2000) 225 F.3d 1042, 1048.) Likewise, a defense to the predicate claim is a defense to the alleged violation of the UCL. (Krantz, 89 Cal.App.4th at 178.) The claim for violation of UCL is based on a claim that Cross-Defendants committed fraud against Cross-Complainants. (SAXC, ¶ 91.) Accordingly, because Cross-Complainants fraud claims fail, the UCL claim also fails. Thus, the demurrer to the 10th cause of action is SUSTAINED with leave to amend. 14. 11th and 12th Causes of Action: Open Book Account and Money Had and Received The only essential allegations of a common count are ‘(1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment.’” (Farmers Ins. Exchange v. Zerlin (1997) 53 Cal.App.4th 445, 460, internal citations omitted.) However, when a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable.” (McBride v. Boughton (2004) 123 Cal.App.4th 379, 394, internal citations omitted.) Here, Cross-Complainants allege in their conversion claim that MMJ paid money to Providence under the Lease. (SAXC, ¶ 73.) In their common counts, they allege they into financial transactions with Providence and that “Cross-Defendants owe money to Cross-Complainants on the account of such transactions.” (SAXC, ¶¶ 98, 102.) Accordingly, Cross-Complainants seek to recover the same money they seek in their breach of contract claim and conversion, which is based on the same facts. Therefore, the common counts fail for the same reason the conversion claim fails. Thus, the demurrer to the 11th and 12th causes of action is SUSTAINED with leave to amend. <u>Motion to Strike</u> Based on the recommendation on the Demurrer. The motion to strike it moot.
14	24-01375927 <i>Realpage, Inc. vs. County of Orange</i>	Demurrer to Amended Complaint The Demurrer to Plaintiff’s First Amended Complaint (FAC) by Defendant State of California, by and through California Department of Food and Agriculture (State) is OVERRULED as to the first, second, and sixth causes of action. and SUSTAINED with leave to amend as to the third, fourth, and fifth causes of action. <u>Legal Standard:</u>